J.P. Morgan MedTech

Down but Not Out: The Argument for Owning MedTech

Medical Supplies & Devices

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With MedTech extending its three-year losing streak against the S&P 500, the top question for us and investors is a simple one: is MedTech broken, or an undervalued buy? The sector has struggled with several false starts since first taking a hit during the pandemic, and the lack of long-only and generalist investor interest means that support has been minimal, as shares have fallen to trade at valuation lows last seen at the peak of COVID-19. We think there is strong interest in potentially using MedTech as barbell/hedge against the AI trade for if and when that breaks, but we don't get the sense that investors are ready to pull the trigger just yet. On our end, we've had more generalist interest over the past month from investors that we previously hadn't interacted with on the MedTech sector than probably in the past year – that's not an exaggeration**. The discussions we're having are increasing, and the current environment could potentially set up a 2027E recovery trade as new catalysts hit and drive organic growth reacceleration – historically the sector works on accelerating organic sales growth and new product launches.**

A Brief Recap: How'd We Get Here?

- **After growth bottomed out during the Great Recession in 2011, a new wave of innovation supported MedTech's organic sales growth reacceleration towards the mid-single digits from 2012-2019.** There was no shortage of high quality growth stories, from continuous glucose monitoring (CGM) in diabetes, left atrial appendage closure (LAAC) and transcatheter aortic valve replacement (TAVR) in structural heart, and new robotic launches across soft tissue and large-joint orthopedics. Organic sales growth rebounded from +2.4% in 2012 to +4.4% in 2015 and +5.4% in 2019 as today's higher-growth companies like Abbott, Boston Scientific, and Stryker reached high-single digits. This also led to the sector's premium to the S&P 500 reaching 20%+ in 2019, the highest seen since 2008.
- **The sector's defensive nature was called into question during the recent pandemic, however, and broader macro trends weren't favorable either.** Growth in the sector rebounded quickly after the initial impact from Covid, with help from vaccine approvals, but inflationary pressures down the supply chain lingered in 2022, with little ability at the time to pass through rising costs to end-users. Even after growth looked to recover and even reaccelerate from 2022-2025, investors continued to pull capital out of MedTech and Healthcare more broadly, as (1) the new administration clearly shifted government spending away from healthcare into tech and defense; and (2) AI and tech continued to outperform on significant market cap and index exposure, with plenty of high momentum stocks to choose from, with interest in healthcare therefore limited to lower multiple defensive names.

See page 15 for analyst certification and important disclosures.

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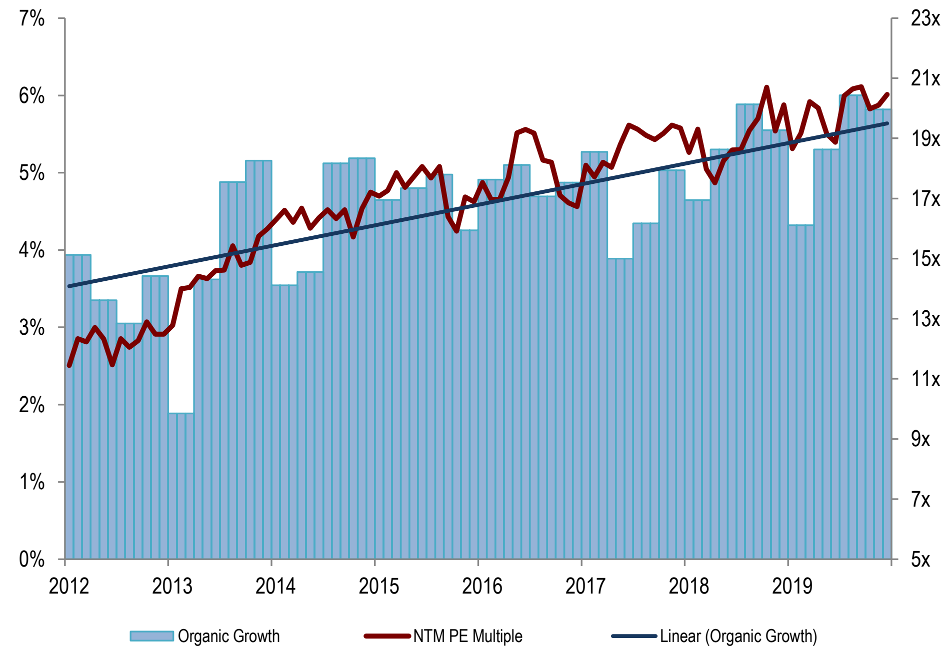
- **The AI trade, in particular, has been detrimental for MedTech, with NVDA (covered by J.P. Morgan analyst Harlan Sur) alone representing more market capitalization than the entire healthcare sector and a larger % of the S&P 500.** Since ChatGPT launched in Nov '22, roughly 75-85% of the S&P 500's performance attribution and EPS growth as well as ~90% of capital investment has come from companies associated with AI. **Said another way, generalist PMs have to be in the AI trade if they want a chance to outperform the index, and Healthcare has been a drag and a source of funds as a result.** AI is such a large component of the benchmark that it is leaving investors with little reason to look towards Healthcare or MedTech.
- **Most portfolios are highly levered to the AI trade now with overexposure to quality growth/momentum stocks, so there's no need to invest in the same in MedTech – we consistently hear investors looking to add low multiple, stable defensive stocks to counter AI, with many choosing Pharma or Managed Care over MedTech to accomplish this.** This is usually the spot that high-quality MedTech assets occupy in a portfolio (e.g. BSX, EW, ISRG, SYK), a niche that Tech has completely filled, and quite honestly delivered much more share price appreciation as of late. This has left investors looking for more stable and defensive companies to round out their portfolio, a profile that doesn't quite exist in MedTech like it used to – the low multiple companies are there for a reason, with lower growth and/or mixed execution (BAX, BDX, ZBH), leaving MedTech and Healthcare more broadly as a source of funds.
- **Investors reduced their MedTech exposure further during the GLP-1 bubble in 2H23, with long-only investors now seemingly trimming on any share strength and a refusal to support or initiate new positions on the way down.** This left hedge funds as the only incremental buyers in the space, and even this cohort degrossed (i.e., lowered dollar exposure) materially in early 2026, partly explaining why Growth MedTech sold off and Value MedTech rallied early in the year (investors sold longs and bought back shorts as $ exposure was lowered). **Intrinsic value becomes less relevant without long-only or generalist investors participating, in our view; as a result, a disappointing 1Q26 headlined by negative estimate revisions has led to concerns of a growth deceleration, with valuations falling through levels most investors previously viewed as a floor.**
- **What this all translates to is this: Large-Cap MedTech is now trading at 14-15x NTM earnings, or 30% below the S&P 500, the widest discount we've seen in the last thirty years.** Previously, premium growth names (5%+) averaged 2.50-3.00x turns of multiple per 100bps of growth, while lower growth names averaged 1.75-2.50x. This has contracted to 1.75-2.50x and 2.0-3.0x respectively, an inversion that we believe creates an attractive opportunity.

Finding the Bottom: Comparing 2026E to 2010-2012

- **In the normalized environment seen between 2012-2019, MedTech share performance demonstrated a high correlation with organic sales growth.** It sounds obvious, but we've already talked at length about how we believe organic sales growth is the number one driver of share performance in MedTech, as it has become a more innovation-driven sector over the last decade and a half in response to stagnating growth in legacy markets. The combination of internal innovation and a healthy cadence of M&A drove organic growth upwards across all of the companies in our coverage, with Boston Scientific and Stryker championing this strategy and being rewarded on valuation as a result. The group's premium to the broader market expanded over this same period as well, from a minor discount at the end of 2012 up to a mid-teens % premium entering 2020.

Figure 1: Large-Cap Organic Growth vs. NTM Earnings Multiples



Source: Bloomberg Finance L.P., company reports

- **When we look at how MedTech has traded year to date, trends look similar to those seen in 2010 and 2011 in the aftermath of the Great Recession.** Each year between 2010-2012 saw organic sales growth at its annual peak in 1Q to start off the year before decelerating 2Q-4Q after that. The correlation to the broader market isn't perfect, but multiple expansion and contraction during this time period followed the trajectory of organic growth – as a reminder, top-line forecasts for MedTech in 2010 started the year at +6.2% organic before negative revisions led to actual growth closer to +4.1%. A similar story played out in 2011, with organic growth forecast at +4.4% to kick off the year before ultimately growing +3.4%.
- **Unlike the more persistent growth pressures seen in the wake of the Great Recession, however, we don't see the same cyclical and secular pressures today.** There was no shortage of challenges for MedTech in the early 2010s, but multiple secular trends impacted the sector whether it was (1) on the demand side, as healthcare costs were increasingly shifted onto the consumer due to the rise of high deductible/co-pay plans; (2) the mix of providers, with an accelerated shift of physicians out of private practice and into hospital-based practice to reflect tightening physician reimbursement and hospital acquisitions of surgeon groups; or (3) price, whether due to hospital consolidation, increasing focus on device/therapy overuse, new care delivery models, capitated pricing, and/or price transparency (e.g., the shift in healthcare costs onto the consumer) or mix (e.g. hospitals buying up surgeon groups).

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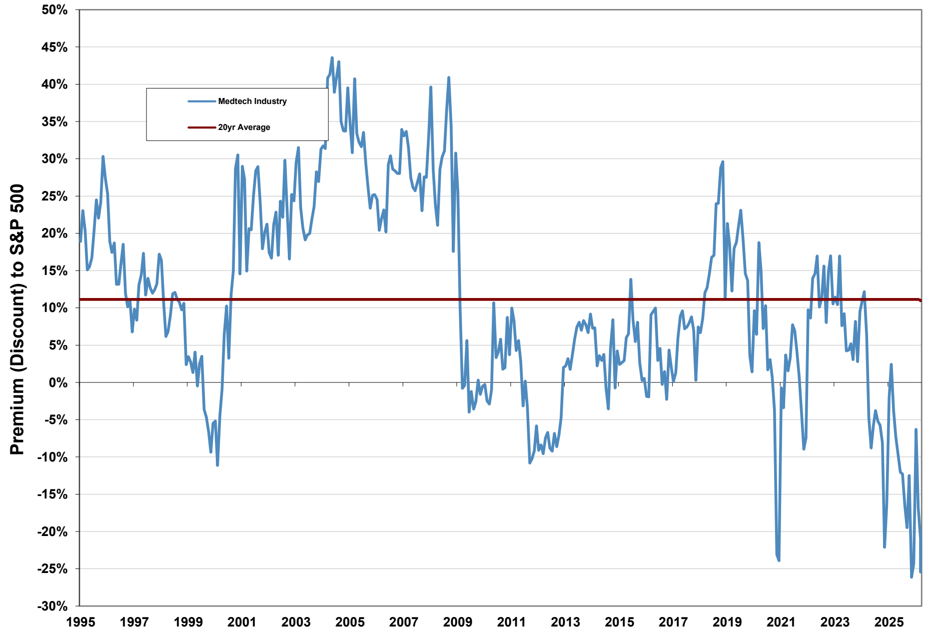
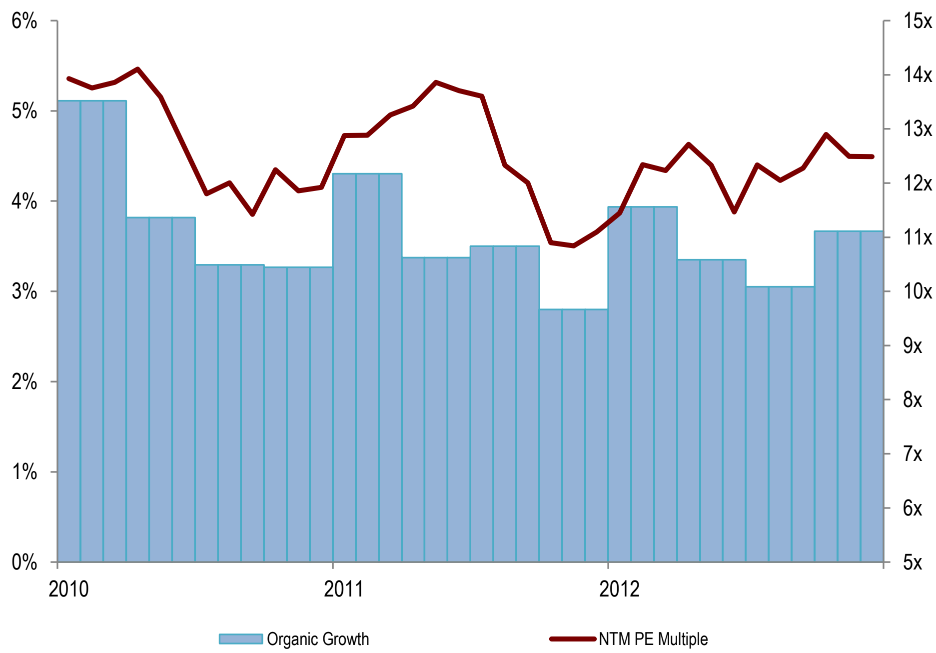
Figure 2: MedTech P/E Premium (Discount) vs. the S&P 500



Source: Bloomberg Finance L.P.

Figure 3: MedTech NTM P/E Multiple vs. Organic Sales Growth (2010-2012)



Source: Bloomberg Finance L.P.

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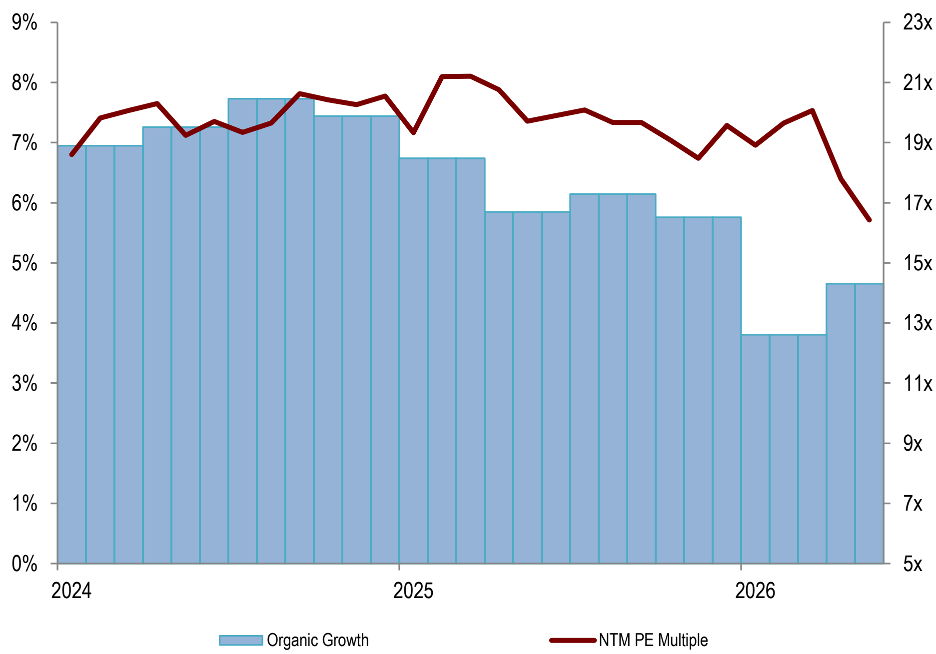
Figure 4: MedTech Quarterly Organic Sales Growth (2010-2012)

Company	1Q10	2Q10	3Q10	4Q10	2010	1Q11	2Q11	3Q11	4Q11	2011	1Q12	2Q12	3Q12	4Q12	2012
Large-Cap MedTech															
Abbott	4.9%	3.9%	1.0%	2.6%	2.4%	6.1%	3.0%	6.6%	3.8%	4.8%	5.9%	6.7%	4.1%	5.7%	5.6%
Baxter	5.3%	0.5%	5.4%	3.8%	3.7%	4.1%	6.6%	4.0%	2.9%	4.4%	3.9%	3.1%	3.6%	4.5%	3.7%
Becton, Dickinson	6.5%	3.7%	2.9%	(1.5%)	2.9%	7.3%	5.1%	4.9%	1.5%	4.7%	3.4%	4.1%	3.9%	5.1%	4.1%
Boston Scientific	(4.9%)	(7.2%)	(5.1%)	(3.6%)	(5.4%)	(0.7%)	(0.5%)	(3.4%)	(5.3%)	(2.5%)	(2.6%)	(4.3%)	(4.8%)	(0.5%)	(3.1%)
Dexcom	83.1%	74.6%	60.7%	49.3%	63.8%	48.5%	81.7%	56.5%	43.4%	56.8%	41.8%	9.5%	26.5%	48.5%	31.0%
Edwards Lifesciences	9.4%	14.9%	12.6%	13.4%	13.1%	16.9%	12.6%	12.5%	8.1%	12.4%	13.3%	15.1%	13.3%	20.7%	15.7%
GE Healthcare															
Intuitive Surgical	73.7%	34.6%	22.9%	20.5%	34.3%	18.1%	21.3%	29.7%	27.6%	24.4%	27.6%	26.0%	20.4%	22.6%	24.0%
Medtronic	5.3%	0.1%	1.3%	2.0%	2.1%	0.2%	1.1%	1.5%	0.4%	0.8%	3.3%	3.6%	4.3%	3.7%	3.7%
Stryker	6.3%	4.6%	4.7%	5.8%	5.6%	4.2%	5.7%	4.1%	4.1%	4.5%	5.1%	2.8%	2.5%	5.9%	4.1%
Zimmer Biomet	3.4%	3.3%	(0.6%)	3.0%	2.3%	3.0%	1.9%	2.1%	2.1%	2.3%	2.6%	1.4%	2.0%	1.4%	1.8%
Large-Cap Average	**4.8%**	**3.6%**	**3.0%**	**3.2%**	**3.9%**	**3.9%**	**2.7%**	**2.7%**	**1.8%**	**2.7%**	**2.9%**	**2.2%**	**1.8%**	**2.7%**	**2.4%**

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

Figure 5: MedTech NTM P/E Multiple vs. Organic Sales Growth (2024-YTD 2026)



Source: Bloomberg Finance L.P.

Figure 6: MedTech Quarterly Organic Sales Growth (2024-2027E)

Company	1Q24	2Q24	3Q24	4Q24A	2024	1Q25	2Q25	3Q25	4Q25	2025	1Q26A	2Q26E	3Q26E	4Q26E	2026E	2027E
Large-Cap MedTech																
Abbott	4.7%	7.3%	7.4%	8.6%	7.0%	6.8%	6.8%	5.6%	3.0%	5.5%	2.9%	3.9%	7.0%	9.9%	6.0%	7.6%
Baxter	2.4%	5.2%	4.2%	1.7%	3.4%	4.9%	0.3%	1.1%	2.7%	2.2%	(1.0%)	(0.9%)	1.2%	1.3%	0.2%	3.8%
Becton, Dickinson	5.7%	5.2%	6.2%	3.8%	5.3%	0.9%	3.0%	3.9%	0.4%	3.3%	2.6%	2.5%	2.4%		1.5%	2.8%
Boston Scientific	13.1%	14.6%	18.2%	19.4%	16.4%	18.2%	17.4%	15.2%	12.9%	15.8%	8.8%	5.7%	6.2%	6.3%	6.7%	7.7%
Dexcom	25.0%	15.4%	3.0%	8.1%	11.8%	13.6%	14.6%	20.5%	12.0%	15.1%	12.5%	11.2%	10.2%	10.8%	11.1%	10.3%
Edwards Lifesciences	9.9%	8.1%	8.4%	7.2%	8.0%	8.8%	10.5%	12.5%	11.6%	10.7%	12.8%	10.6%	8.9%	9.9%	10.5%	10.3%
GE Healthcare	(0.5%)	1.3%	0.9%	2.0%	1.0%	4.1%	1.6%	3.5%	4.7%	3.5%	2.9%	3.5%	4.6%	3.8%	3.7%	3.9%
Intuitive Surgical	12.1%	15.0%	16.9%	25.5%	17.6%	22.3%	23.3%	24.5%	17.6%	21.7%	22.3%	12.9%	15.0%	12.7%	15.5%	14.8%
Medtronic	5.4%	5.3%	5.0%	4.1%	5.0%	5.4%	4.7%	5.5%	6.0%	5.4%					5.4%	5.0%
Stryker	11.0%	9.0%	10.5%	9.2%	9.9%	10.1%	10.2%	9.4%	11.0%	10.2%	2.3%	9.2%	12.4%	10.3%	8.7%	7.4%
Zimmer Biomet	6.3%	4.1%	2.6%	5.3%	4.6%	3.5%	2.8%	5.0%	5.4%	4.2%	2.9%	2.1%	2.6%	1.6%	2.3%	3.2%
Large-Cap Average	**6.9%**	**7.3%**	**7.7%**	**7.4%**	**6.6%**	**6.7%**	**5.8%**	**6.1%**	**5.8%**	**6.3%**	**3.1%**	**3.7%**	**5.2%**	**5.5%**	**4.3%**	**5.2%**

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

- **There's no quick fix, but we think there are four likely scenarios where MedTech can recapture investor interest here:** (1) a large risk-on event (peace in Iran, Ukraine) could drive significant re-grossing at hedge funds and capital deployment into Medtech, and specifically quality growth; (2) the demise of the AI trade, with near-term pain to the entire market unlocking substantial amounts of capital; (3) an organic growth reacceleration following the recent dip, a trend similar to what we saw in 2011-2012 after the Affordable Care Act (ACA) was implemented; and (4) private equity steps in to support valuations and entice public investors, such as with the recent acquisitions of Hologic and Vantive.

Figure 7: MedTech Forward NTM P/E

		12-Month Forward P/E													Change			
Company	**Ticker**	**Jan-15**	**Jan-16**	**Jan-17**	**Jan-18**	**Jan-19**	**Jan-20**	**Jan-21**	**Jan-22**	**Jan-23**	**Jan-24**	**Jan-25**	**Jan-26**	**May-26**	**2026E**	**2025**	**2024**	**2023**
Abbott Labs	ABT	19.9	18.9	15.4	20.1	22.6	24.1	24.6	29.7	25.0	23.8	21.9	23.1	15.7	(7.5)	1.2	(1.9)	(1.1)
Baxter	BAX	16.9	26.8	20.5	23.1	19.9	23.0	22.7	21.3	14.2	13.0	11.5	9.6	9.7	0.1	(1.9)	(1.5)	(1.2)
Becton Dickinson	BDX	17.2	17.9	17.3	18.9	18.0	21.1	19.5	19.2	20.7	18.7	15.4	13.8	11.1	(2.7)	(1.6)	(3.3)	(2.0)
Boston Scientific	BSX	14.4	17.5	17.6	18.1	22.8	25.3	21.9	22.8	23.9	25.8	31.9	29.5	16.5	(13.0)	(2.4)	6.1	1.9
Cooper	COO	21.2	16.2	17.8	18.7	21.7	22.9	27.4	29.0	26.6	24.3	23.0	18.7	13.4	(5.3)	(4.3)	(1.3)	(2.3)
Edwards Lifesciences	EW	30.7	32.9	27.3	26.2	29.4	37.5	42.0	50.4	29.9	27.5	30.3	31.1	27.1	(4.0)	0.8	2.7	(2.4)
GE Healthcare	GEHC									14.6	18.2	16.8	18.0	12.9	(5.1)	1.2	(1.4)	3.7
Johnson & Johnson	JNJ	16.5	16.0	16.4	17.9	15.2	16.1	17.3	16.5	17.0	14.6	13.6	18.6	19.6	1.0	5.0	(1.0)	(2.4)
Medtronic	MDT	16.4	14.8	15.1	16.2	16.8	19.6	20.3	17.7	14.5	15.5	14.0	17.2	13.4	(3.8)	3.1	(1.4)	1.0
Stryker	SYK	18.9	16.6	18.6	21.7	19.6	23.3	26.6	26.3	24.9	25.9	26.8	25.3	20.1	(5.2)	(1.5)	0.9	1.0
Zimmer Biomet	ZBH	14.7	13.1	12.0	14.8	13.2	18.0	19.1	15.3	18.3	15.3	12.3	11.3	10.0	(1.3)	(1.0)	(3.0)	(3.0)
Mid-to-Large Cap Average		**16.9**	**16.8**	**16.9**	**18.8**	**18.5**	**21.3**	**21.5**	**21.1**	**19.2**	**19.0**	**18.3**	**18.5**	**14.3**	(4.2)	0.2	(0.7)	(0.2)
S&P 500		16.4	16.1	16.9	18.5	14.6	18.9	23.6	22.0	16.8	19.6	21.5	22.4	20.9	(1.4)	0.9	1.9	2.8
Sector Premium to the S&P		**3.1%**	**4.3%**	**-0.2%**	**1.8%**	**26.8%**	**12.8%**	**-8.8%**	**-4.1%**	**14.5%**	**-3.1%**	**-15.2%**	**-17.4%**	**-31.6%**				

As of 5/21/26 close.
Source: Bloomberg Finance L.P.

Our Top Large Cap Picks

- **Intuitive Surgical (ISRG) is well-owned by investors with healthy fundamentals and is our top pick of the Large Caps in our coverage.** Although a valuation of ~40.0x+ NTM earnings looks expensive on an absolute basis, it falls well below historical levels and has screened as a very attractive entry point in the past. Sell-side estimates are even more conservative than usual for a large-cap as well, with the stock trading closer to ~30.0x on buy-side estimates based on our discussions. The company's already off to a strong start to the year with a beat-and-raise to kick off 2026, and we think the current concerns around AI disruption are significantly overblown as Intuitive's installed base and procedure exposure represent a much bigger advantage when it comes to building its own AI capabilities.
- **Edwards (EW) falls second in our pecking order as the most consensus long in the space.** We have good visibility into 2026E outperformance, with no shortage of potential catalysts between tailwinds from Partner 3 Low-Risk data on top of weaker competitor data, a potential NCD update later this year for asymptomatic, and building momentum in TMTT as Pascal appears to have gained momentum against Mitraclip and Evoque benefits from positive data readouts like two-year outcomes from TRISCEND II. For a company growing double digits, a ~25.0x NTM valuation looks like an attractive entry point to us.
- **Stryker (SYK) appears well positioned to beat and raise for the rest of the year after reiterating guidance despite cybersecurity challenges in 1Q.** The company has been one of the most consistently executing premium growth MedTech companies over the last few years, and executing through such a significant disruption to start off 2026 further supports Kevin Lobo as one of the best CEOs in MedTech. A faster pace of innovation both internally and externally has helped it to sustain growth of at least high single-digits since 2017 (excluding COVID), with 12 tuck-in deals announced since the start of the decade. Stryker led the way in specializing its salesforce, another competitive advantage that has enabled it to stay close to the needs of the customer while quickly integrating deals.
- **Boston Scientific (BSX) is the most controversial and, in our view, the most undervalued, yet it could take several good quarters to see the return of long-**

only and generalist investors. The debate for the stock continues to be around guidance, and specifically whether the conservatism baked into today's ranges leaves enough room for a beat-and-raise story over the next few quarters. On the bullish side, long-only investors continue to highlight WATCHMAN as a key growth driver, with both volumes and mix benefitting from the shift to concomitant. Bears need a lot more time to gain confidence in the growth outlook and see it as dead money through at least the end of 2026, with a much cleaner setup once we exit 2027. It's encouraging to see continued investment in growth like MiRus, although we believe share buybacks likely make more sense today with shares at lows last seen in 2023.

Small-Caps

- **There's a similar story being told on the SMid-cap side, as the fairly tight correlation between MedTech and the Russell 2000 index on EV/sales began to diverge significantly around 2022-2023.** Although actual volume challenges from the Omicron strain of Covid were short-lived, a combination of persistent staffing shortages, rising interest rates, and no shortage of idiosyncratic challenges saw trailing EV/sales multiples contract from 8.2x in 4Q21 down to 5.3x in 4Q22, while the Russell only moved from 2.0x to 1.6x. With GLP-1s, recessionary fears, and the high-profile collapse of a number of industry darlings and recent IPOs over the following few years as well, SMid-cap MedTech continued to slide and now trades at just 2.2x trailing sales while the Russell has recovered back to ~2.0x.
- **Almost every SMid-cap company saw major challenges during this time period,** between: (1) an entire class of IPOs, including AFIB, CVRX, EAR, NPCE, SDC, SGHT, SILK, and UTRS, that collapsed, as well as (2) well-established stories like INGN and NVRO. To be clear, almost all of these companies suffered from very specific challenges to their respective business models and end-markets. Regardless, we wouldn't be surprised if this contributed to broader margin compression in the space as well as a widening gap between companies perceived as winners and everyone else. This spread has persisted until today, with only a few of the highest quality names trading at or above high-single digits, with even less of an appetite for risk compared to Large Caps.
- **With all that in mind, the two companies that we continue to like the most are Glaukos (GKOS) and Insulet (PODD).** Glaukos likely has the most material upside to numbers and the cleanest beat-and-raise setup for 2026, as expectations for both iDose and Epioxa continue to look conservative and we can confidently say profitability is a matter of when, not if. Insulet is more complicated, as sentiment remains poor and short theses remain stubbornly hard to disprove. Regardless, shares trading at just 3.0x NTM sales and 22.0x earnings looks far too steep for a company that we continue to view as best positioned in the diabetes pump market.

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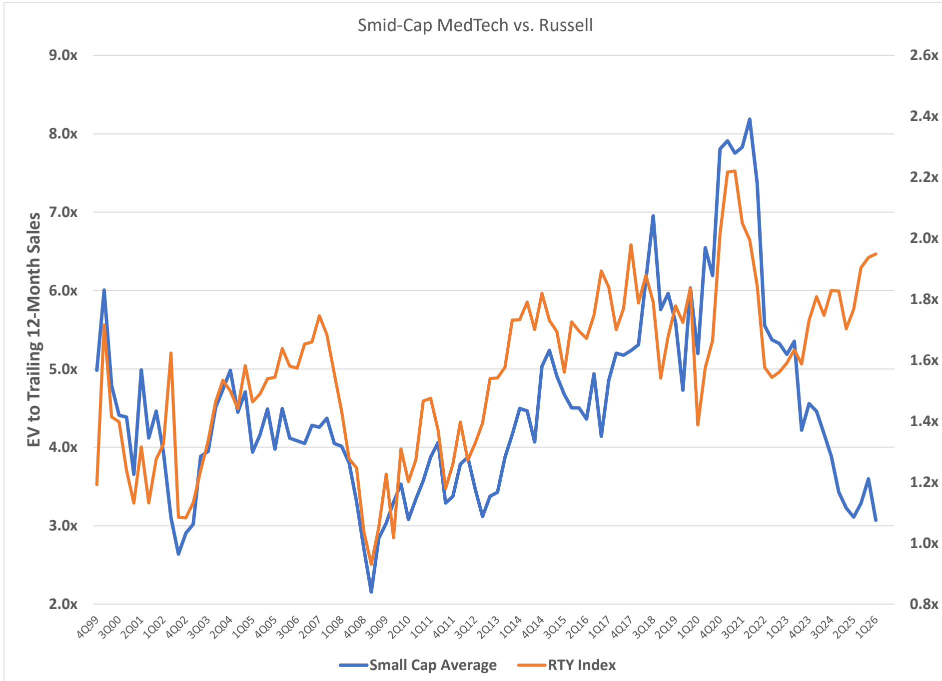
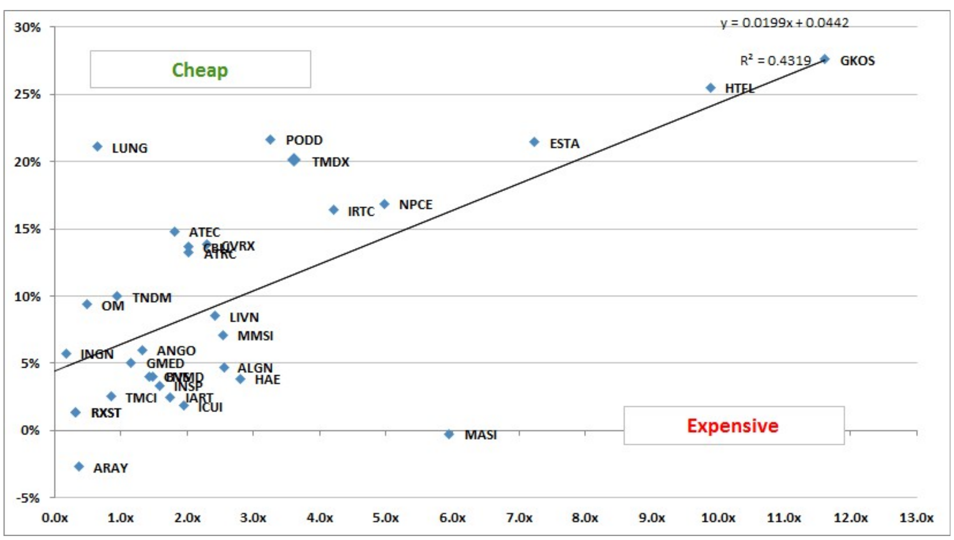
Figure 8: SMid-Cap MedTech vs. Russell 2000 – Trailing EV/Sales



Source: Bloomberg Finance L.P.

Figure 9: SMid-Cap NTM EV/Sales vs. 2024-2029E Organic Sales Growth CAGR



Source: Bloomberg Finance L.P. and J.P. Morgan estimates

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Innovation in 2027

While 2026 is a fairly catalyst-light year for MedTech, 2027 and 2028 are shaping up to be more interesting from a product/data standpoint with a number of next-gen launches and new markets beginning to take form. We call out (1) renal denervation, (2) PFA for Type 2 diabetes, (3) intravascular lithotripsy, and (4) new launches across structural heart.

In renal denervation, next generation products and launches from new entrants could accelerate adoption in what we see as the largest new market in MedTech. As it stands today, we still expect this to be a more tempered rollout in light of the need to: (1) educate primary care physicians, general cardiologists, and nephrologists, many of whom are still unaware of RDN and historically have only managed hypertension with medication, not procedures; (2) battling the stigma that's come with the procedure's mixed clinical track record; (3) determining who the best patient is for the procedure; and (4) potential competition from new aldosterone synthase inhibitors drugs. That said, shortcomings in the current product lineup leave the door open for Boston Scientific's TIVUS ultrasound RDN system, which is slated to launch in 2028. While all renal denervation devices have demonstrated good safety outcomes, TIVUS does not make direct contact with the renal artery vessel wall, which in theory should result in even fewer adverse events. Whereas Medtronic's Simplicity Spyral uses a targeted-ablation approach with four individual radiofrequency electrodes, the balloon design used in ultrasound devices enables 360-degree ablation, which doctors view as more comprehensive. Recor's Paradise is an ultrasound-based device as well, though Boston's size and large foothold in the interventional cardiology space should give it a leg up over its ultrasound competitor. Better efficacy from next-generation products (e.g., Medtronic's Simplicity Spyral transradial catheter, launching later this year) could help spur greater demand as well.

One underappreciated asset in Boston Scientific's VC portfolio that we think could have blockbuster potential is its investment in a company that has a first-in-class and perhaps best-in-class device to treat Type 2 Diabetes with PFA (pulsed field ablation). Boston won't confirm which companies it has investments in within its VC portfolio, but to our knowledge there's only one company pursuing the treatment of Type 2 Diabetes with PFA, and that's Endogenex. Founded in partnership with Mayo Clinic, Endogenex has developed a 30-60 minute outpatient endoscopic procedure that uses non-thermal pulsed electric field (PEF) energy to treat inflamed and dysfunctional duodenal tissue. This approach is based on emerging evidence that duodenal duodenopathy is a key driver in the pathogenesis of Type 2 Diabetes and that restoring gut health may have profound effects on metabolic control. Clinical data from Endogenex's REGENT-1 Australia study demonstrate promising safety and efficacy for the ReCET System in Type 2 Diabetes. Importantly, a "dose response" was seen in outcomes and biomarkers with higher powered, more complete ablations, giving initial confidence in the validity of the mechanism of action. The ReCET procedure is uniquely positioned to intervene before patients progress to insulin dependence, targeting those who are likely to require insulin in the near term; the initial addressable market is conservatively sized at ~5M Americans, though over time the company plans to expand its reach to earlier-stage disease, potentially broadening its addressable market and establishing ReCET as a first-line device-based intervention. We expect the 1-year follow-up for the ReCET US pivotal trial to be complete in March 2027, with data available at either the DDW 2027 conference or the ADA 2027 conference, both in the first half of the year. See here for more of our previous work on Endogenex and

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thoughts on PFA for Type 2 Diabetes.

Boston Scientific and Abbott are both entering the intravascular lithotripsy (IVL) market, where we think the greatest opportunity will be in the coronary. While IVL has become the dominant technology for calcified plaque modification in the peripheral setting, this is not yet the case in the coronary space. The coronary space is newer, with Shockwave receiving FDA approval in 2021 vs. 2016 for peripheral, though doctors also highlighted mixed outcomes in the coronary, which could also play a role in the relatively lower penetration. Shockwave's C2+ device for the coronary comes in sizes down to 2.5mm in diameter, though this is still sometimes too bulky for the much smaller coronary arteries. Data from Boston Scientific's FRACTURE trial evaluating the SEISMIQ 4CE coronary IVL catheter were recently presented at ESC, with the trial meeting both its primary safety and efficacy endpoints. The primary safety endpoint was met with a 93.3% rate of freedom from MACE, including cardiovascular death, myocardial infarction, or target vessel revascularization at 30 days, beating the pre-specified performance goal of 86.2% ($p<0.0001$). The primary safety endpoint was also met with a 93.7% rate of procedural success (i.e. successful stent delivery with a final residual stenosis of less than 50% and freedom from in-hospital MACE), beating the pre-specified performance goal of 85.8% ($p<0.0001$). Boston is on track to launch SEISMIQ in coronary in 2027, and Abbott is submitting its coronary IVL device to the FDA for approval this year, similarly putting it on track for a launch in 2027.

New launches in mitral and tricuspid valves and label expansion in TAVR could bring the next wave of growth in structural heart. Edwards continues to have the most shots on goal here, with a number of products in development across mitral and tricuspid, both repair and replacement. Following the Evoque tricuspid and SAPIEN M3 mitral replacement launches this year, Edwards is on track to launch Pascal tricuspid and a next-gen Pascal for mitral later in 2026. While it's unclear whether TAVR label expansion into asymptomatic severe AS and moderate AS will result in a pull-forward or sustained increase in volumes, either way, this should support at least a modest improvement in growth over the next few years. The other large cardiovascular players all have efforts across TAVR and TMTT as well, with Boston most recently making another attempt at the TAVR market through its investment and option to acquire MiRus, which is developing the SIEGEL TAVR valve and has early programs in mitral and tricuspid. MiRus is currently enrolling its STAR pivotal trial, which is evaluating the safety and efficacy of three sizes of the SIEGEL valve in patients with severe symptomatic aortic stenosis across low, intermediate, and high surgical risk, which should support approval around late 2028/early 2029.

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Figure 10: Potential MedTech Catalysts in 2026-2028E

Company	Technology/Catalyst	2026	2027	2028
Abbott	VOLT PFA catheter	FDA approval		
Abbott	Libre Glucose + Ketone monitoring sensor	FDA approval		
Abbott	Alinity N blood screening instrument	CE Mark / FDA approval		
Abbott	Coronary IVL device	FDA submission		
Abbott	Aveir CSP pivotal trial	Start trial		
Abbott	Cephea Mitral Replacement Valve pivotal trial	Start trial		
Abbott	Balloon TAVR pivotal trial	Start trial		
Abbott	Peripheral IVL pivotal trial	Start trial		
Abbott	Continuous Lactate Monitoring (CLM) sensor trial	Start trial		
Abbott	Amulet 360 LAA device		FDA approval	
Abbott	TactiFlex Duo (RF+PFA) catheter		FDA approval	
Abbott	Coronary IVL		FDA approval	
Abbott	Amulet LAA indication expansion (CATALYST trial)		FDA approval	
Abbott	PFA + mapping catheter		Start trial	
Abbott	Aveir CSP			FDA approval
Abbott	Navitor intermediate / low risk indication			FDA approval
Abbott	MitraClip moderate risk indication			FDA approval
Abbott	Peripheral IVL			FDA approval
Abbott	EV-ICD			FDA approval
Abbott	Cephea Mitral Replacement Valve			FDA approval
Abbott	Continuous Lactate Monitoring (CLM) sensor			FDA approval
Baxter	Novum LVP		Potential removal of ship and installation hold	Potential removal of ship and installation hold
Becton Dickinson	CentroVena One Insertion System	Launch		
Becton Dickinson	BD Pyxis Pro Dispensing Solution	Launch		
Becton Dickinson	HemoSphere Stream Module with VitaWave Plus Cuff	Launch		
Becton Dickinson	PureWick Portable	Launch		
Becton Dickinson	Surgiphor Pulse	Launch		
Becton Dickinson	Avitene Flowable	Launch		
Becton Dickinson	BD EnCor EnCompass	Launch		
Becton Dickinson	BD Liverty TIPS Stent Graft	Europe launch		
Becton Dickinson	Revello Vascular Covered Stent	Europe launch		
Boston Scientific	SEISMIQ Below-the-Knee IVL	Launch		
Boston Scientific	TruSelect 2.6 Microcatheter	Launch		
Boston Scientific	Rivos Biliary Access Device	Launch		
Boston Scientific	Slim Scope	Launch		
Boston Scientific	Potential WATCHMAN CHAMPION label expansion	FDA approval		
Boston Scientific	SEISMIQ Coronary IVL		Launch	
Boston Scientific	Imaging 4D ICE		Launch	
Boston Scientific	EMPOWER leadeless pacer & Modular CRM (mCRM)		Launch	
Boston Scientific	LUX-AIR ICM System		Launch	
Boston Scientific	PRECEDENT next-gen defib		Launch	
Boston Scientific	Next-gen FARAWAVE Ultra		Launch	
Boston Scientific	CHORUS Idx (2D ICE) integration		Launch	
Boston Scientific	REMATCH-AF redo persistent AF		Data Release	
Boston Scientific	ROWAN TheraSphere comination therapy		Data Release	
Boston Scientific	Versatile		Launch	
Boston Scientific	Suction Sheath		Launch	
Boston Scientific	Next-gen spinal cord stimulation		Launch	
Boston Scientific	TIVUS Ultrasound System (RDN)			Launch
Boston Scientific	Heart failure therapies			Launch
Boston Scientific	Next-gen WATCHMAN and concomitant sheath			Launch
Boston Scientific	Next-gen S-ICD			Launch
Boston Scientific	FARAFLEX			Launch
Boston Scientific	Cortex integration			Launch
Boston Scientific	AAA management			Launch
Boston Scientific	Therasphere China			Launch
Boston Scientific	PFA for type II diabetes			Launch
Boston Scientific	Peripheral nerve stim and other neurologic conditions			Launch
Boston Scientific	MiRus SIEGEL TAVR			Late 2028/early 2029 FDA approval

Source: Company reports, J.P. Morgan

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Figure 11: Potential MedTech Catalysts in 2026-2028E cont'd

Company	Technology/Catalyst	2026	2027	2028
Dexcom	Flex	Launch		
Dexcom	D1 + 15 day		OUS launch	
Dexcom	Hospital CGM system		Launch	
Dexcom	Medicare T2 NIT coverage expansion		Reimbursment update	
Dexcom	G8		Late 2027/early 2028 US launch	Late 2027/early 2028 US launch
Dexcom	G8			OUS launch
Dexcom	Stelo G8			US launch
Dexcom	D1 + G8			OUS launch
Edwards	PROGRESS moderate AS trial	Data Release		
Edwards	Updated TAVR NCD	Reimbursement update		
Edwards	Next-gen PASCAL for mitral and tricuspid	CE Mark / FDA approval		
Edwards	PASCAL tricuspid	Launch		
Edwards	SAPIEN M3	Launch		
Edwards	TRIFORMIS surgical valve	Launch		
Edwards	Potential TAVR moderate AS label expansion		FDA approval	
Insulet	Omnipod 6		Launch	
Insulet	Fully closed-loop AID system for T2D			Launch
Medtronic	Simplicity Spyral renal denervation system	Launch		
Medtronic	Hugo urology	US launch		
Medtronic	Altaviva	Launch		
Medtronic	Affera Sphere-360 launch	2026/2027 US launch	2026/2027 US launch	
Medtronic	Simplicity Spyral transradial catheter	2026/2027 launch	2026/2027 launch	
Stryker	Mako Shoulder	Launch		
Stryker	Mako RPS	Launch		
Zimmer Biomet	Monogram semi-autonomous		Launch	
Zimmer Biomet	Monogram fully autonomous		Late 2027/early 2028 launch	Late 2027/early 2028 launch

Source: Company reports, J.P. Morgan

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Interest Rates

Over the past 30 years, MedTech equities have generally outperformed in both rising- and falling-rate regimes, but the relative tailwind has been more pronounced when rates fall (annualized relative return: ~15.5% vs. ~4.7%). That said, the group has changed materially over time – today's MedTech looks meaningfully different than it did 10 years ago, and it is largely unrecognizable versus 20 years ago. Even so, for "MedTech staple" names like ABT, BDX, and MDT, the figure below still suggests a meaningful spread in outcomes across rate regimes, with falling vs. rising environments typically driving a ~5% to >15% performance gap. With inflationary pressures (e.g., oil, resin, chips) still working their way through the economy and Kevin Warsh starting his chairmanship, the Fed is signaling a patient, data-dependent path for interest rates. Assuming interest rates can remain where they are (or continue to move lower), we see a constructive setup for MedTech when combined with healthy fundamentals that could help support improved SMID-cap interest and performance through 2026 and into 2027.

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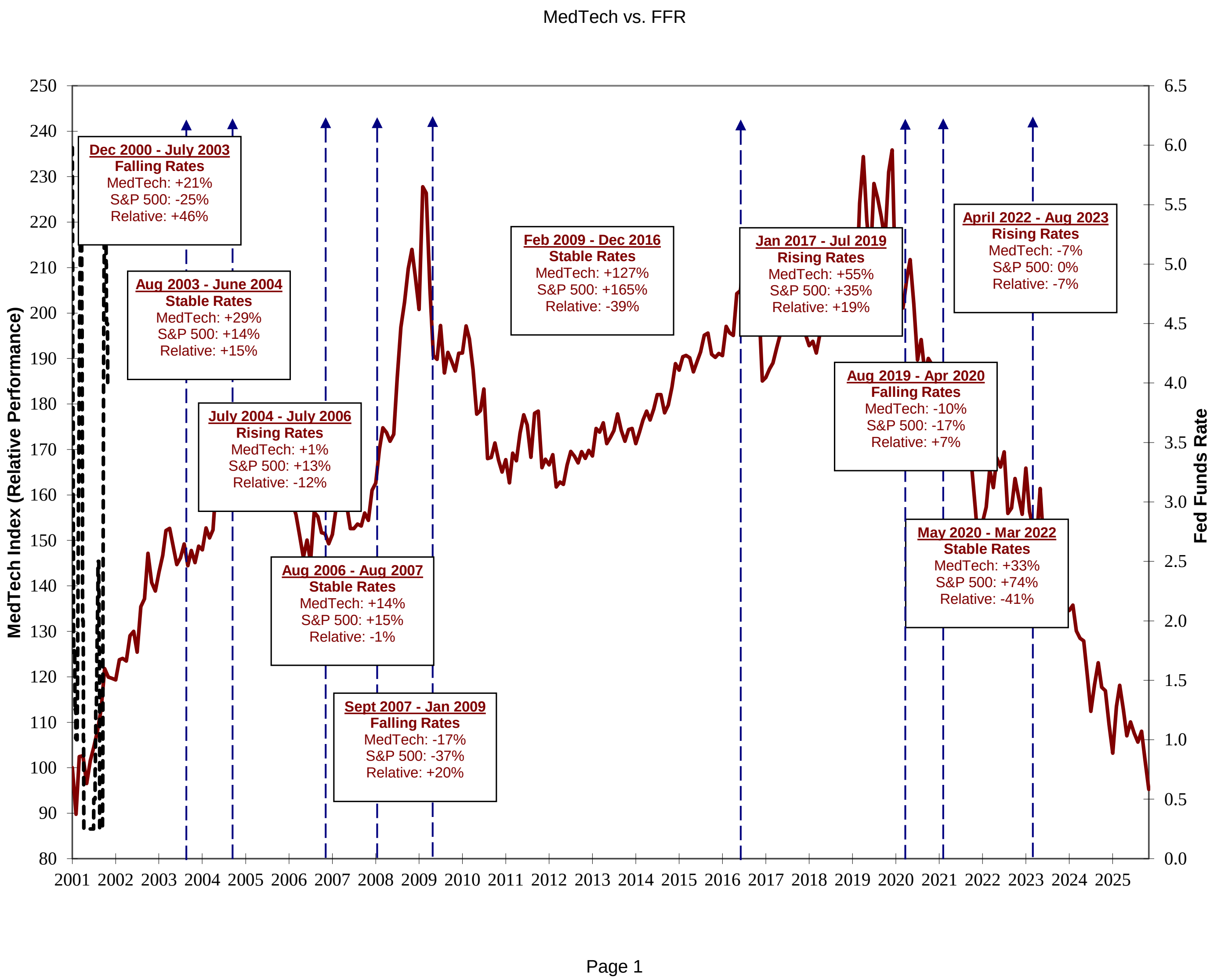
Figure 12: MedTech Index Relative Performance vs. the Fed Funds Rate



Source: J.P. Morgan estimates, Bloomberg Finance L.P.

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Boston Scientific Corporation(BSX/$57.15/OW), Edwards Lifesciences(EW/$83.20/OW), Glaukos(GKOS/$139.03/OW), Insulet Corp(PODD/$156.89/OW), Intuitive Surgical, Inc.(ISRG/$439.80/OW), Stryker Corp(SYK/$313.50/OW)

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